

CTEV pitch deck

PITCH — CTEV — VERDICT

PROPOSED — PENDING ADJUDICATION — No position, no order, no band armed: WAIT on a dated gate (Q3 print ~2026-11-05 and the MDL class-certification ruling in 2027). Both benches landed on no-entry; roughly half of the red bench's arithmetic had to be thrown away rather than weighed.

What we believe

Claritev (formerly MultiPlan) reprices out-of-network medical claims for large health insurers. It is a genuinely profitable operating business — roughly \$1.0B of revenue this year and about \$615M of “adjusted” earnings — sitting under \$4.69B of debt (measured at principal, which is what the loan documents run on). At \$37.75 a share and 16,947,463 shares outstanding, the stock is worth about \$640M. That is about **12% of the whole enterprise**; the lenders own the other 88%.

Three things follow, and they are the thesis:

1. **The earnings do not reach the shareholders.** Interest is about \$401M a year. Capital spending is guided at \$160–170M. Take those out of \$615M and you are left with roughly +\$49M mechanically — yet the company's own free-cash-flow guidance for the year is **\$5–15M**. Something on the order of \$35–45M of real cash cost sits outside the word “adjusted.” Against a \$640M market value, the midpoint is a **1.6% cash return to equity**, and the company has \$14.4M of unrestricted cash with \$70M drawn on its revolver.
2. **One point of margin is the entire year.** 100 basis points of margin on ~\$1.0B of revenue is ~\$10M — the whole free-cash-flow guide. The company has *already* printed a ~330bp year-over-year margin decline, worth ~\$33M, or three times the guide.
3. **The valuation is almost pure leverage math.** Net debt is 7.63× adjusted earnings. That means at an enterprise multiple of 7.63×, the equity is worth exactly zero. Today it trades at ~8.67×. Every **0.1× of multiple is \$61.5M of enterprise value = \$3.63 a share = ~10% of the equity**. This is not a stock; it is a levered call option on a services multiple.

We do not think the business is broken. We think the *equity* is a thin, correctly-priced claim with no self-funded time value while an unresolved antitrust case runs.

What the market believes

The market believes the operating line is fine and getting better. The company raised revenue guidance at the Q2 print, and — a fact both benches initially missed — **raised the free-cash-flow guide too, from \$0–10M (Q1 release, 5/7/26) to \$5–15M**. The direction is positive, not deteriorating.

Sell-side targets sit above the tape but not dramatically: Barclays raised to \$40 on 8/20 (~+6% from \$37.75) and the mean target is ~\$45.83 (~+21%). The mechanism behind those targets is visible and, we think, flawed: they capitalize the *raised revenue line* at an unchanged multiple, while the company's own guidance concedes that adjusted earnings are roughly flat and free cash flow is ~\$10M.

The market also believes the legal overhang is manageable. In June the DOJ closed its criminal grand jury (6/17/2026) while expanding a civil investigation (CID 5/19/2026, expanded 7/14/2026). The stock treated the expansion as bad news, and on our reading the tape was right.

The stock is up ~218% from its 52-week low of \$11.505 and still ~49% below its 52-week high of \$74.00. This is a name being actively re-rated, not one nobody is looking at. That conditions how big we could ever get; it does not by itself argue against owning it.

Why we might have edge

Three places where we think we see something the target prices do not:

- **The conversion gap, stated as a rule.** Guided free cash flow is **1.6% of guided adjusted earnings**. We think that ratio — free cash flow divided by adjusted EBITDA, at leverage above 5× — is a repeatable screen, not a one-off observation. When it drops under ~3%, the adjustments plus cash interest have eaten the operating line and the only remaining variable is margin, of which one point is the whole year.
- **The two risks are the same counterparty.** One client was **35.0% of revenue in Q2'26** (10-Q, 2026-08-07). The insurers named as co-defendants alongside MultiPlan in the private antitrust case (UnitedHealth, Elevance, Aetna, Cigna, Humana, Blues entities) are that same customer base. Concentration risk and litigation risk are usually modeled as independent; here they are one risk. A remedy that changes how the pricing product works hits the 35% client's contract economics *and* hands that client the reason and the cover to renegotiate.
- **A criminal close can make the tail bigger, not smaller.** When a company discloses that a grand jury closed while a civil probe expanded, the reflex is to read de-escalation. But the private multidistrict case (MDL 3121, N.D. Ill., Judge Kennelly) already **survived a motion to dismiss on 6/3/2025** on a hub-and-spokes price-fixing theory and is in discovery, seeking **treble damages** on alleged multi-billion-dollar provider underpayment. Corporate criminal exposure is bounded and negotiable; a treble-damage class action is not. Civil DOJ discovery is useful raw material for those plaintiffs.

Why it might be priced in

Honestly: most of it probably is, and two of our three “edges” turned out to have been public for years.

- **The client-concentration/co-defendant overlap is not our discovery.** Muddy Waters published it on 2020-11-11 and the stock fell 20% that day — including the sharper version of our own cash point, that the client was “up to 35% of revenue and **80% of levered free cash flow.**”

It has been in every 10-K risk factor since. Our red bench claimed this as an invented attack. It is consensus.

- **The MDL is in the 10-Q.** The market can read the contingencies note. The mispricing, if any, is that a *diffuse* reader underweights it — not that it is hidden.
- **The 12%-of-enterprise-value stub is what a levered option is supposed to look like.** An 8.67× multiple on a business growing revenue mid-single-digits with flat earnings is not obviously wrong. If the multiple is right, the stock is right, and our whole case reduces to “we dislike the risk,” which is a preference, not an edge.
- **The legal tail is now dated, which usually shrinks the discount.** Class certification is expected in 2027 and an initial bellwether trial is docketed for **2027-12-07**. Dated risk gets priced more efficiently than undated risk.
- **Cash flow is guided to improve, not worsen.** Q1’26 free cash flow was **−\$92.5M**; Q2 was **+\$54.6M**; first half is therefore about **−\$37.9M**. To hit a \$5–15M full year, the second half has to deliver **+\$43M to +\$53M**. That is the guide asking for a materially *better* second half — a bullish requirement, not a bearish one. Our red bench got this exactly backwards.

What could go wrong

This is the pre-mortem for the position we would take if the gates open, and for the cost of standing aside.

Failure 1 — We buy the Q3 beat and the fourth quarter gives it back. (Monitorable.) The second half needs +\$43M to +\$53M of free cash flow. Working capital timing can deliver a clean Q3 and an ugly Q4; Q1’26 already showed this business can print a −\$92.5M quarter. We enter on a 62%-margin Q3, the year lands at \$2M instead of \$12M, and the multiple gives up 0.3× — which is \$11 a share, or 29% of the equity. *Tripwire*: the Q3 print itself, and nine-month cumulative free cash flow, not the quarter in isolation.

Failure 2 — Class certification is granted in 2027. (Monitorable, but the tripwire fires after the damage.) A certified class on a hub-and-spokes theory with treble damages against a \$640M equity is not a discount event; it is a solvency question. The stock does not drift into that — it gaps. Our tripwire (the docket) is public and dated, but a certification order is released to everyone simultaneously, so being “monitored” buys us no exit. *Tripwire*: MDL 3121 docket, class-cert ruling expected 2027; bellwether 2027-12-07.

Failure 3 — The 35% client quietly in-sources or repricing terms are renegotiated, and we learn about it from a guidance cut. (NO MONITORABLE TRIPWIRE.) UnitedHealth built Naviguard as an in-house substitute years ago; the pattern is established. But a contract renegotiation between two parties who neither file it nor discuss it is invisible until it shows up as a lowered guide or a terse 8-K. There is no docket, no permit, no shipment record, no consumer signal — this is a credentialed business-to-business portal, so our app-review and consumer-velocity detectors are structurally inapplicable, not merely unfired. **Unknown-unknown class: counterparty-private contract terms** — economics set bilaterally between two non-disclosing parties, where the only public

trace is the effect, after the fact. We have no sensor for this class and cannot build one. Naming it is the entire mitigation: it means any position here must be sized as if the largest single revenue line can be repriced without warning.

The reflexive and structural leg. - *Our own size versus liquidity*: 16,947,463 shares outstanding after a 1-for-40 reverse split, with sponsor-era holders still in the register — the tradable float is smaller than the share count implies. **We have not measured average daily volume.** That check has not been run, and until it is, our $\leq 1\%$ -of-ADV ladder discipline cannot be applied. This is a gap, not a clean bill. - *We would be bidding into flow we ourselves predict.* Our re-entry trigger — a Q3 beat on margin and cash — is the identical trigger every other levered-stub buyer is watching. If it fires, it fires into a gap-up. Our own doctrine says do not bid into flow you forecast; that argues for a limit ladder *below* the print reaction, not a market order into it. - *Doctrine interactions.* (a) The company is an active defendant in an algorithmic-pricing antitrust case with a parallel DOJ civil probe. That is an integrity overhang: this name **cannot be treated as fairly-paid risk** and any fair-value estimate must be haircut to at most $0.85\times$ before sizing. (b) A resting good-till-cancelled order left standing into the 11/05 print is an accidental short-volatility bet; if we ladder, the ladder must be cancelled before the print or explicitly intended to be filled by it. (c) A $+218\%$ run in a 17M-share float deserves a squeeze-character check before we call the price “the market’s view” — that check has not been run either.

If this position loses money, the most likely reason will be that we bought a 12%-of-enterprise-value equity sliver on one good quarter of cash conversion, and the 35%-of-revenue client — who is also an antitrust co-defendant — repriced or in-sourced its contract on terms no filing ever warned us about.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Share price and drawdown	Evidence pack live quote (ibkr_gw, 11:16Z 2026-08-25); cross-checked against 8/24 close \$36.58 / \$619.9M market cap	Pack reads \$37.75 , -49% from the 52-week high, $+228\%$ off the low. The two sources agree within a day’s move.	YES
BENCH ERROR — red bench’s tape	Red asserted \$28.255 / -61.8% / $+145.6\%$ “from the pack” and voided the entire enterprise-value table on it	No source supports \$28.255. Red’s substituted market cap (\$478.9M), stub share (9.3% of EV), equity yield (2.1%) and “42–62% street gap” are all artifacts of a wrong price . Red’s lead finding was self-inflicted.	NO — void
Debt should be measured at principal	10-Q long-term debt table	Principal \$4,706.9M vs carrying \$4,602.9M; net principal debt \$4,692.5M ; leverage 7.63$\times$, not 7.46 $\times$. Correct convention, correctly applied.	YES (red bench, sustained)
No funded maturity before 2030	Same table	Revolver 12/31/2029; substantive maturities 2030–2031. Red declined to inflate this against its own case.	YES

Claim	How checked	Found	Confirmed?
Adjusted earnings don't convert to shareholder cash	Q2 8-K detail; company FY guidance	Interest \$100.3M/qtr; capex guided \$160–170M/yr; \$615M adjusted vs \$5–15M guided free cash flow = 1.6% conversion .	YES — this is the binding kill
BENCH ERROR — red's forward decomposition	Red: "\$5–15M less Q2's +\$54.6M implies Q1+H2 of –\$40M to –\$50M"	Backwards. Q1'26 press release, primary SEC filing : Q1'26 FCF –\$92.5M . The negative is printed history. H2 must be +\$43M to +\$53M — the guide demands improvement.	NO — refuted by blue
BENCH ERROR — capex figure	Red annualized Q2 capex to \$152M	Company guides \$160–170M . Total cash cost is ~\$13M <i>worse</i> than red said. But note: higher capex also <i>shrinks</i> red's "unexplained residual outside adjusted" from ~\$50M to ~\$35–45M. Blue called this a strengthening of the detector; it is both — worse cash, smaller mystery.	PARTIAL — both benches imprecise
The real legal exposure is the private MDL, not the criminal probe	10-Q contingencies note; N.D. Ill. MTD ruling 6/3/2025	CONFIRMED . Hub-and-spokes Sherman §1 claim survived dismissal, in discovery, treble damages sought. The originating brief omitted MDL 3121 entirely — a real gap in our own work.	YES
BENCH ERROR — "collateral estoppel fuel"	Red argued a DOJ civil complaint gives plaintiffs preclusive effect	Legally wrong. A <i>complaint</i> is a pleading. Clayton Act §5(a) prima-facie effect attaches only to a final judgment after testimony . Red upgraded an allegation to evidence.	NO — refuted
BENCH ERROR — "the tail is undated"	Docket check	Wrong. Discovery ordered at the 2/27/26 case-management conference; class-cert ruling expected 2027 ; initial bellwether trial 2027-12-07 . Dated risk is a different instrument than undated risk.	NO — refuted
BENCH ERROR — "35% client overlap is my invented attack"	Public record	Muddy Waters published it 2020-11-11 (–20% that day), including "80% of levered free cash flow" — the direct ancestor of our own cash-conversion finding. In every 10-K risk factor since. Consensus, not novel.	NO — retagged consensus
Free-cash-flow guide direction	Q1 vs Q2 releases	RAISED from \$0–10M to \$5–15M. Both benches treated it as static. Neither caught it before the audit pass.	YES — missed by both
Share count / capital structure artifacts	10-Q cover; XBRL diluted share series	Single class, 16,947,463 Class A shares — no partnership units, no tax-receivable leakage. Separately: the XBRL series drops from ~644M shares (Q2'24) to ~16.1M (Q3'24), a ~40:1 ratio — a 1-for-40 reverse split . Neither bench flagged it; any per-share history spanning that date is not comparable as filed.	YES (my check)

Claim	How checked	Found	Confirmed?
Insider selling cluster	Pack filing inventory: Form 144 on 8/10 and 8/14; Form 4 on 8/07 (×2), 8/12, 8/18	Existence confirmed. Dollar amounts, share counts and 10b5-1 plan dates were never fetched by either bench. After a +218% run, unquantified insider selling is not evidence of anything.	NO — unresolved
Enterprise multiple sensitivity	Arithmetic on the benches' own inputs	EV \$5,332M ÷ \$615M = 8.67× ; equity = 12.0% of EV . Each 0.1× of multiple = \$61.5M EV = \$3.63/share ≈ 10% of the equity . At 7.63× the equity is worth zero — the leverage ratio is the wipeout multiple.	YES (my check)
Is the ≥62% Q3 margin gate a fair test?	Guide arithmetic	\$615M ÷ ~\$1.01B = 60.9% implied full-year margin. Blue's ≥62% Q3 gate therefore demands a quarter <i>above</i> the company's own full-year guide. It is a demanding gate; that is intentional, but it should be stated as such rather than presented as neutral.	YES (my check)
Detector coverage	Both benches' consultation lists	Red skipped two dispatched detectors and substituted two that were never dispatched. Blue ran the skipped pair: the leveraged-distribution detector fired historically — the \$4.7B stack is sponsor-era residue carried through the 2020 SPAC merger, not operating-era borrowing. That is the fact that explains the capital structure the screen caught. Both benches agree the consumer-product detector cluster is falsely tagged to this industry code and should be un-tagged.	PARTIAL — coverage gap, now closed

PROPOSED ENTRY BANDS

The courts say no entry. These are the reopen bands. No order is proposed today, at any price.

Gate A — Operating (dated: Q3 print, ~2026-11-05, UNCONFIRMED). Reopen the court only if the Q3 release shows **both**: adjusted EBITDA margin ≥**62%** *and* nine-month cumulative free cash flow ≥ **-\$20M**. Margin without cash conversion proves nothing — that is precisely the trick the full-year guide is asking us to believe. Note the honest caveat above: 62% is above the company's own implied full-year margin of ~60.9%, so this gate is deliberately set at “beat your own guide.”

Gate B — Legal (dated: 2027). Class-certification ruling in MDL 3121. **Denial, or a certification narrowed to a bounded class, or a settlement figure ≤\$200M, or an insurer-defendant settlement that caps Claritev's share** → reopen. **Grant on the full hub-and-spokes theory** → permanently out; a treble-damage certified class against a \$640M equity is not a sizing question.

Gate C — Price, mechanical (from the benches' own math). - **\$13.42** = $8.0 \times$ enterprise value / adjusted EBITDA on \$4,692.5M net principal debt. Below this the stub stops being a value proposition and becomes a deep out-of-the-money option on the multiple. That is a legitimate instrument, but it is sized like an option ($\leq 0.10\%$ of book), not like an equity. - **\$0.00 at 7.63 $\times$** — stated so nobody has to rediscover it: the leverage ratio and the wipeout multiple are the same number. - **\$49.71** = $9.0 \times$ enterprise value / adjusted EBITDA. Above this the market is paying an operating-quality multiple for a 7.63 $\times$ -levered defendant in an active antitrust case. Do not chase; if we somehow hold at that level, that is the trim.

Proposed sizing if and only if Gate A passes (author's proposal — no bench named a size): starter **$\leq 0.25\%$ of book**, entered as a limit ladder *below* the print reaction, never at market into the print, and never as a resting good-till-cancelled order left standing across 11/05. Because this issuer carries an unresolved integrity overhang, any fair value we compute must be haircut to **$\leq 0.85 \times$** before the ladder is priced. **Blocking precondition: average daily volume must be measured first** — the $\leq 1\%$ -of-ADV ladder rule cannot be applied to a number we have not looked up, and the post-reverse-split float is small.

Catalyst dates: Q3 print ~**2026-11-05** (derived from a data vendor, *not* confirmed by any company press release or 8-K — treat as a window, not a date). MDL class certification, sometime in **2027**, exact date unknown. Initial bellwether trial listed **2027-12-07**.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 11.51 (deck-provisional: 52-week low retest (\$11.505); re-run the whole conversion-gap math from scratch rather than treating i)
- filing watch: 8-K until 2027-02-21 (deck-provisional: Q3 results (~2026-11-05): need adj-EBITDA margin $\geq 62\%$ AND nine-month cumulative FCF $\geq -\$20\text{M}$, plus an)
- dated pack CTEV|2026-11-05: CTEV: Q3 2026 results — the operating gate (adj-EBITDA margin $\geq 62\%$ AND 9-month FCF $\geq -\$20\text{M}$); date is vendor-derived, NOT named by any comp
- dated pack CTEV|2027-01-01: CTEV: PLACEHOLDER for MDL 3121 class-certification ruling — expected sometime in 2027, exact date UNKNOWN; sourced from a plaintiff-firm sum
- dated pack CTEV|2027-12-07: CTEV: MDL 3121 initial bellwether trial as listed; sourced from a plaintiff-firm summary page, not verified on PACER (date confirmed=False)

What remains unverified

- **The 2026-11-05 print date.** Vendor-derived. No company press release or 8-K names it. Everything scheduled off it is scheduled off an assumption.
- **The contingencies note was never read directly.** Both benches were blocked by sec.gov returning 403 and worked from proxy fetches and secondary summaries. The MDL facts we are

relying on — theory that survived dismissal, discovery status, co-defendant list — have not been rendered from the filed document itself. This is the single largest hole in the pack.

- **The MDL docket dates** (2/27/26 case-management conference, 2027 class cert, 2027-12-07 bellwether) come from a plaintiff-firm summary page, not from PACER. Plaintiff-side sources have an interest in the trial date sounding imminent and certain.
 - **Insider selling: entirely unquantified.** Zero dollar amounts. The filer CIK on the 144s is an agent, not a person, so we do not even know who sold.
 - **The identity of the 35% client** is inferred, not disclosed. The 10-Q gives the percentage, not the name. Naming it requires the 10-K concentration narrative or a contract exhibit, neither of which was pulled.
 - **The 35% contract's renewal date and terms** — unknown and, per the pre-mortem, probably unknowable in advance.
 - **The XBRL revenue series in the pack** carries period labels we could not reconcile to the reported fiscal quarters. We used company guidance for all forward revenue and margin math rather than that series, and we have not resolved the discrepancy.
 - **Whether the +218% move off the low has squeeze characteristics** (short interest, days-to-cover, borrow) — not checked, and it matters for whether we treat the current price as “the market’s considered view.”
 - **Whether prior-year full-year free cash flow was similarly back-half-weighted** — this would tell us whether the required +\$43M to +\$53M second half is normal seasonality or an unusual ask. We know Q1’26 was −\$92.5M against Q1’25’s −\$68.9M (a \$23.6M year-over-year deterioration), but we did not pull the full 2025 quarterly shape.
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